DSEH004 Performance Management and Employee Engagement

Week 7 | Lecture 1 | Unit III

From Engagement Data to Strategy

What engagement is, what drives it, and how a driver becomes a strategic priority

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Commit before theory

A CEO says: our engagement score is high, so our people strategy is working. Which reply is the strongest?

A Agreed, engagement predicts performance

B Engagement with what: the job, or the organization?

C Scores are always inflated, so ignore them

D Check whether the score is linked to business outcomes in our own data

Macey and Schneider: three meanings of engagement

1 Trait engagement

A stable tendency to see work positively and energetically, such as proactive personality

2 State engagement

Feelings of energy and absorption at work; what most surveys measure

3 Behavioral engagement

Extra-role effort, persistence and initiative that others can see

A strategy must say which of the three it is trying to change, because each responds to different levers

Saks: antecedents and consequences of engagement

Antecedents

Job characteristics, perceived organizational support, supervisor support, rewards, procedural and distributive justice

Job engagement

Absorption in one's own work role

Organization engagement

Absorption in the role of member of the organization

Consequences

Satisfaction, commitment, lower intent to quit, citizenship behavior

Saks (2006): job and organization engagement are related but distinct, and they have partly different antecedents

Does engagement really matter for performance?

Study	Finding	Caution
Harter et al. (2002)	Business-unit engagement relates to customer satisfaction, productivity, profit, turnover and safety	Correlational and at unit level
Harter et al. (2010)	Work perceptions predicted later outcomes more strongly than the reverse	Causal claims rest on time ordering
Christian et al. (2011)	Engagement relates to task and contextual performance beyond job attitudes	Mostly self-reported engagement
Rich et al. (2010)	Engagement mediates links from value congruence, support and self-evaluations to performance	Single-context sample

Not all demands are bad: Crawford et al. (2010)

Challenge demands

- Workload, time urgency, responsibility
- Positively related to engagement
- Still relate to burnout, so they need resources

vs

Hindrance demands

- Role conflict, red tape, hassles
- Negatively related to engagement
- Strategy should remove them first

A cheap and high-impact strategy is often to remove hindrances, not to add programs

From a driver to a strategic priority

Importance

How strongly the driver relates to the outcome, using relative importance

Gap

How far the current score is from where it should be

Feasibility

Cost, time and manager capacity needed to move it

Business link

Whether moving it plausibly changes a business result

Course framing: a priority is a driver that is important, has a gap, can be moved, and matters to the business

Two engagement scores, one company

Teaching case (Course framing)

A Chennai logistics firm finds high job engagement among drivers but low organization engagement. Drivers enjoy the work and their team leads, but distrust head office after a delayed bonus last year. Engagement budget is limited to one initiative this year.

Work it through

1. Which Saks antecedents explain each score?
2. Which outcome is at most risk: performance or retention?
3. Name one hindrance demand you would remove
4. Choose one initiative and justify it with the priority test

Common confusions to avoid

A tempting reading	A better reading
Engagement is one thing	Distinguish trait, state and behavior, and job from organization engagement
All demands reduce engagement	Challenge demands can raise it; hindrance demands lower it
The top driver is the priority	A priority must also be movable and linked to business results

Exam-style question

Using Saks (2006) and Macey and Schneider (2008), explain why an organization can report high engagement and still lose talent. Recommend a strategy. (20 marks)

What a strong answer does

- Separates trait, state and behavioral engagement, and job from organization engagement
- Uses antecedents to locate the weak link, such as justice or organizational support
- Cites Harter et al. with appropriate caution about causality
- Recommends a priority using importance, gap, feasibility and business link

Sources

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